"limit" but not cease its naval activities in the East China Sea to a line extending south from Jeju Island off the southern tip of the Korean Peninsula to approximately 25 degrees north latitude, whence the line would swing southwestward toward Taiwan, bypassing the Senkaku Islands. This would be referred to by both countries as the ECS Median Line.

Further, the US recognized Chinese control over the Spratly and Paracel island chains in the South China Sea, and acknowledged China's "historic interests" in the South China Sea. For its part, the PRC promised never to invade or attack Japan, provided Japan refrained from interfering with peaceful Chinese military activities in the East China Sea. A secret codicil, revealed five years later, contained an American promise to end all military and intelligence aid to Taiwan, effectively killing off the 1979 Taiwan Relations Act.

After the agreement was made public, President Newsom delivered a major address at the Cato Institute think tank in Washington, DC, outlining substantial changes to America's role in the Pacific. He announced a withdrawal of US naval, ground, and air forces from Japan to Guam and Hawaii; the US would leave a token force of one F-16 squadron and two DDGs in Japan but withdraw completely from Okinawa. Enhanced military aid to Japan and full intelligence sharing along the lines of the "Five Eyes" arrangement would be implemented to maintain a strong alliance. In the interests of maintaining peace on the Korean Peninsula, the US Army would maintain a force of 7,000 soldiers—3,500 of them in combat units—down from a prewar total of 28,000, all of them to be located in Busan, on the southern tip of South Korea.

Seeking to reassure America's allies, Newsom reiterated that America's extended deterrence commitments, the so-called nuclear umbrella, would remain in force. He also ordered Defense Secretary Flournoy to submit plans to build up naval and air facilities on Guam and Oahu. Despite public opposition in both locales, land requisition soon expanded the US military's footprint on both islands. In their totality, Newsom's policy shifts caused an uproar among mainstream foreign